



Challenger – Channel Capital and Fidante

MN-65033

Phase 1 Determination

Acquisition may be put into effect

2 October 2026

1. Determination and statement of reasons

Notified acquisition	Challenger Limited (Challenger) proposes to merge its Fidante business with Channel Capital Pty Ltd (Channel Capital) (the Acquisition). Challenger’s wholly owned subsidiary Challenger Funds Management Holdings Pty Limited (CFMH) currently holds 100% of the share capital in Fidante Partners Holdings Pty Limited, Fidante Partners Limited, and Fidante Partners Services Limited (together, Fidante). Under the Acquisition, a newly established entity, Channel Group Holdings Pty Ltd (Channel Group), would indirectly acquire Channel Capital and Fidante (together, the Parties), and CFMH would acquire a 45% interest in Channel Group.
Determination	The Australian Competition and Consumer Commission has determined under section 51ABZE(1) of the <i>Competition and Consumer Act 2010</i> (Cth) that the Acquisition may be put into effect.
Parties to the Acquisition	Challenger is a publicly listed investment management company (ASX:GCF) that operates a retirement income division, which supplies retirement income products such as lifetime annuities and life insurance, and a funds management division, which includes Fidante and supplies fund management services specialising in fixed income strategies. Fidante is Challenger’s multi-affiliate funds management business. As a “multi-affiliate”, it invests in long-term partnerships with multiple active fund managers (thereby affiliating with those managers). Channel Capital is a fund management services business, which provides operational, infrastructure, distribution and governance solutions to fund manager clients. Channel Capital provides these services to third-party managers and typically does not take equity or other interests in those managers.
Overlap between the Parties	The Parties overlap in the supply of various fund management services in Australia. These are services or business functions provided to fund managers to support their core activity of managing funds for investors. Fund management services include distribution services, Responsible Entity (RE) services, and ancillary services.
Reasons for determination	When making a determination in Phase 1, the Australian Competition and Consumer Commission (ACCC) undertakes a competition assessment and considers whether it is appropriate for an acquisition to be approved or subject to further assessment in Phase 2 in accordance with section 51ABZJ of the <i>Competition and Consumer Act 2010</i> (Cth) (the Act). In doing so, the ACCC must have regard to the object of the Act and all relevant matters, including the interests of consumers. For more information about the ACCC’s approach to considering notified acquisitions, see the ACCC’s merger assessment guidelines and interim merger process guidelines.

	In conducting its competition assessment, the ACCC has considered the information and documents that were submitted with the notification form and submissions from third parties. The ACCC has determined that the Acquisition may be put into effect as it considers that the Acquisition would be unlikely to have the effect of substantially lessening competition in any market. In reaching its decision, and based on the material before it, the ACCC makes the following findings. • The market share aggregation resulting from the Acquisition is estimated to be low. • Post-Acquisition, the merged firm will continue to face competition from multiple alternative suppliers.
Applications for review	A notifying party, or other person who has been allowed to do so by the Australian Competition Tribunal, may apply for review if they are dissatisfied with the determination. Pursuant to section 100C of the Act, applications for review of the determination are to be made to the Australian Competition Tribunal before the end of 14 calendar days after this statement of reasons was included on the ACCC's Acquisitions Register. To confirm whether there has been any application for review, please contact the Australian Competition Tribunal.

Determination made by Commissioner Williams pursuant to a delegation under section 25(1) of the Act